

Notes:**1. Pending Creation of Mortgage over Leasehold Land**

The Company has proposed to create an exclusive mortgage in favour of Vistra ITCL (India) Limited, acting as the Debenture Trustee, over the leasehold land situated at Plot No. 2, GIDC Estate, Palej, District Bharuch, Gujarat, as part of the security for the Listed Secured Redeemable Non-Convertible Debentures aggregating to ₹14,000 Lakhs, comprising 16,000 Secured Non-Convertible Redeemable Debentures of ₹87,500 each, partly paid-up, having a face value of ₹1,00,000 each (ISIN: INE629B07013).

As at June 30, 2026, the mortgage over the aforesaid leasehold land has not been created, as the requisite approval/permission from the Gujarat Industrial Development Corporation (GIDC) for creation of the mortgage is awaited. The Company has represented that the necessary applications and documents have been submitted to GIDC and that the mortgage shall be created upon receipt of the requisite approval.

For the purpose of the accompanying Security Cover Statement, the value of the aforesaid leasehold land has been considered based on the valuation report dated November 26, 2025, issued by R K Patel, and forms part of the exclusive security proposed to be charged in favour of the Debenture Trustee. Accordingly, the aforesaid leasehold land does not constitute security actually created as at June 30, 2026, pending receipt of the requisite approval from GIDC and creation of the mortgage.

2. Above figures are stated are from the details provided by the management as on 30 June, 2026.

3. Market value of immovable properties are as per various valuation report as per details below.

Sr No	Name of the Valuer	Property ID	Description	Valuation Amount (₹ in Lakhs)
1	R K Patel	Commercial Office	Office at Marble Arch (Valuation report dated 13th January 2026)	344.00
2	R K Patel	Industrial Land & Building	Industrial Land located at GIDC Palej Industrial Area, Palej Village, Dist. Bharuch (Valuation report dated 24th November 2025)	9,632.00
3	R K Patel	Plant & Machinery	Industrial Land located at GIDC Palej Industrial Area, Palej Village, Dist. Bharuch (Valuation report dated 24th November 2025)	10,370.00
4	CBRE South Asia Private Limited	Residential House	House No 236B, A Block, Sushant Lok 1, Gurugram, Haryana. (Valuation report dated 22nd December 2025)	3,200.00
5	CBRE South Asia Private Limited	Residential House	House No 236D, A Block, Sushant Lok 1, Gurugram, Haryana. (Valuation report dated 22nd December 2025)	2,680.00
6	CBRE South Asia Private Limited	Commercial Project	One Global, Sector 73, Gurugram (Valuation report dated 22nd December 2025)	37,990.00



Consolidated Security Cover Calculation :

Particulars	Amount (₹ in Lakhs)
Security provided by the Issuer i.e. Steelco Gujarat Limited as mentioned in Annexure A - (Exclusive charge against these securities)	22,682.17
Under construction commercial project viz One Global located in Sector 73, Gurugram, develop by the Goddard Builders and Constructions Private Limited. (Market Value of the Immovable property has been taken from the valuation report issued by CBRE South Asia Pvt Ltd dated 21st November 2025) (A pri passu charge over these securities with Urjah Metallica Private Limited proportionate to the NCD outstanding value).	10,814.34
Charge on House No 236B, A Block, Sushant Lok 1, Gurugram, Haryana. (Property ownership vests with Sanish Developers Private Limited) (A pri passu charge over these securities with Urjah Metallica Private Limited proportionate to the NCD outstanding value).	910.92
Charge on House No 236D, A Block, Sushant Lok 1, Gurugram, Haryana. (Property ownership vests with Eesan Estate Developers Private Limited) (A pri passu charge over these securities with Urjah Metallica Private Limited proportionate to the NCD outstanding value).	762.90
Total Value of securities provided for Listed NCDs - (A)	35,170.33
Amount of Debts outstanding as on 30 June, 2026 (Including interest) - (B)	15,116.91
Security Cover Ratio (A) / (B)	2.33



Is there a deviation / variation in use of funds raised?				Yes		
Whether approval required to vary objects?				Yes		
If yes, details of approval				Approval taken as per DTD Agreement		
Date of approval				16/01/2026		
Explanation for deviation / variation				NA		
Comments of Audit Committee				NA		
Comments of auditors				NA		
Original Object	Modified Object	Original Allocation	Modified Allocation	Funds Utilised	Amount of Deviation / Variation	Remarks
Repayment of the Existing Phoenix Facilities availed by the Company in full	Not Applicable	4200.00	Not Applicable	4175.98	Not Applicable	No Deviation
Capital Expenditure	Not Applicable	1000.00	Not Applicable	1000.00	Not Applicable	No Deviation



Working Capital Requirements	Not Applicable	8000.00	Not Applicable	7980.65	Not Applicable	No Deviation
Any purpose as may be permitted by the Debenture Trustee/ Debenture Holders	Not Applicable	800.00	843.37	843.37	43.37	Approved by Debenture Trustee

Deviation could mean:

- (a.) Deviation in the objects or purposes for which the funds have been raised.
- (b.) Deviation in the amount of funds actually utilized as against what was originally disclosed.





OFFICE & WORKS: Plot No. 2, G.I.D.C. Estate, Palej, Dist. Bharuch – 392 220, Gujarat, India.

 Visit us on: www.steelcogujarat.com E-mail : sglbaroda@gmail.com CIN No.: L27110GJ1989PLC011748,

LEI No. 894500QXPSPYLV4LU325, GST No. 24AADCS0880L2Z7

Particulars				Remarks		
Comments of auditors, if any				No Comments		
Objects for which funds have been raised and where there has been a deviation/ variation, in the following table: (Rs. In Lakhs)						
Original Object	Modified Object	Original Allocation	Modified Allocation	Funds Utilised	Amount of Deviation / Variation	Remarks
Repayment of the Existing Phoenix Facilities availed by the Company in full	Not Applicable	4200.00	Not Applicable	4175.98	Not Applicable	No Deviation
Capital Expenditure	Not Applicable	1000.00	Not Applicable	1000.00	Not Applicable	No Deviation
Working Capital Requirements	Not Applicable	8000.00	Not Applicable	7980.65	Not Applicable	No Deviation
Any purpose as may be permitted by the Debenture Trustee/ Debenture Holders	Not Applicable	800.00	843.37	843.37	43.37	Approved by Debenture Trustee
Deviation could mean:						

Corporate Office:

 4th Floor, Marble Arch, Race Course Circle, Vadodara – 390 007, Gujarat. Phone: 0265-2965381



b) deviation in the amount of funds actually utilised by more than 10% of the amount projected in the offer document

4) Details of object(s) to be monitored:

(i) Cost of object(s)-

Sl. No	Item Head	Source of information / certifications considered by Monitoring Agency for preparation of report	Original cost (as per the Offer Document) in Rs. Crore	Revised Cost in Rs. Crore	Comments of Monitoring Agency	Comments of Board of Directors		
						Reason of cost revision	Proposed financing option	Particulars of firm arrangements made
1	Working capital requirements of the Company	CA Certificate* and Final Prospectus**	11.59	Not Applicable	No comments	-	-	-
2	General corporate purpose	CA Certificate* and Final Prospectus**	3.00	Not Applicable	No comments	-	-	-
TOTAL			14.59					



*CA Certificate dated 01 January 2026, issued by M/s. M. Sahu & Co, Chartered Accountant, Statutory Auditors of the Company.

**Sourced from final prospectus dated 09 June 2026, Page No. 36

(ii) Progress in the object(s)-

Sl. No	Item Head [@]	Source of information / certifications considered by Monitoring Agency for preparation of report	Amount as proposed in the Offer Document in Rs. Crore	Amount raised till June 30, 2026 (Rs. crore)	Amount utilized			Unutilised amount in Rs. crore	Comments of Monitoring Agency	Comments of Board of Directors	
					As at Beginning of the quarter	During the quarter	At the end of the quarter			Reason of idle funds	Proposed Course of Action
1	Working capital requirements of the Company	CA Certificate*, Bank Statements, Prospectus and management declaration	11.59	11.59	0.00	11.59	11.59	0.00	The object has been implemented fully in Q1FY27.	-	-
2	General corporate purpose	CA Certificate*, Bank Statements,	3.00	3.00	0.00	0.95	0.95	2.05	This object has been partially	-	-



		Prospectus and management declaration							implemented in Q1FY27		
TOTAL			14.59	14.59	0.00	12.54	12.54	2.05			

**** The above details are verified by Statutory Auditor M Sahu & Co. Chartered Accountants (FRN:130001W) vide its CA certificate dated July 20, 2026, and Management declaration dated August 10, 2026**

Auditor's remark: No deviations from expenditure disclosed in the Offer document.

@Brief description of Object(s):

S.no	Name of the object(s)	Brief description of the object(s)
1	Working capital requirements of the Company	Following the revival and expansion of business operations pursuant to the implementation of the approved Resolution Plan, Steelco Gujarat Limited is expected to require additional working capital to support the ramp-up in operations and meet its incremental funding requirements. The proceeds of the proposed Rights Issue are proposed to be utilised primarily towards strengthening the company's working capital position, which is expected to support higher capacity utilisation, smoothening of day-to-day operations and improvement in operational efficiency. As per management estimates, the company is expected to require approximately Rs. 11.60 crore from the Issue Proceeds during FY2026-27 towards meeting its incremental working capital requirements. The availability of additional working capital is expected to facilitate the company's planned scale-up in operations following the implementation of the Resolution Plan.
2	General corporate purpose	The company proposes to utilise the balance Rs. 3.00 crore of the net Rights Issue proceeds towards general corporate purposes, including meeting day-to-day operating and administrative expenses such as salaries and wages, insurance, repairs and maintenance, taxes and statutory duties, as well as other business-related requirements. The utilisation towards general corporate purposes shall not exceed 25% of the gross proceeds of the Issue, in compliance with the applicable SEBI ICDR Regulations. The allocation of funds under this head will be determined by the Board of Directors based on the funds actually available and the company's business requirements from time to time, subject to applicable laws and regulations.



(iii) Deployment of unutilized Rights Issue proceeds:

Sl. no.	Type of instrument where amount invested	Amount invested (in Crores)	Maturity date	Earnings (in Crores)	Return on Investment (ROI %)	Market Value as at the end of quarter
1	Balance in ICICI Bank Monitoring Account	2.05	NA	NA	NA	2.05
	Total	2.05	NA	NA	NA	2.05

(iv) Delay in implementation of the object(s)-

Object(s) Name	Completion Date		Delay (No. of days/ months)	Comments of Board of Directors	
	As per Offer Document	Actual		Reason of delay	Proposed Course of Action
Working capital requirements of the Company	FY2027	Completed	No Delay	-	-
General corporate purpose	FY2027	Ongoing	No Delay	-	-



OFFICE & WORKS: Plot No. 2, G.I.D.C. Estate, Palej, Dist. Bharuch – 392 220, Gujarat, India.

Visit us on: www.steelcogujarat.com E-mail : sglbaroda@gmail.com CIN No.: L27110GJ1989PLC011748,

LEI No. 894500QXPSPYLV4LU325, GST No. 24AADCS0880L2Z7

Particulars				Remarks		
Comments of auditors, if any				NA		
Objects for which funds have been raised and where there has been a deviation/ variation, in the following table: (Rs. In Lakhs)						
Original Object	Modified Object	Original Allocation	Modified Allocation	Funds Utilised	Amount of Deviation / Variation	Remarks
Funding the Long-Term Working Capital Requirements	Not Applicable	1159.66	Not Applicable	1159.66	Not Applicable	No Deviation
General Corporate Purposes	Not Applicable	300.00	Not Applicable	94.56	Not Applicable	No Deviation
Deviation could mean: a. Deviation in the objects or purposes for which the funds have been raised. b. Deviation in the amount of funds actually utilized as against what was originally disclosed.						
ANOOP KUMAR SAXENA Digitally signed by ANOOP KUMAR SAXENA Date: 2026.08.13 18:47:23 +05'30' Name of signatory: Anoop Kumar Saxena Designation: Managing Director Date: 13.08.2026						

The details of Issue Proceeds are set forth in the following table:

Particulars	Estimated amount (₹ in Lakhs)
Gross Proceeds from the Issue	1489.66
Less: Estimated Issue related Expenses	30
Net Proceeds from the Issue	1459.66

Corporate Office:

4th Floor, Marble Arch, Race Course Circle, Vadodara – 390 007, Gujarat. Phone: 0265-2965381